



Market Debunk

#MARKETDEBUNK

A, B,
and C
bought an

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SWIPE



The three *festive payment* choices

three payment choices Buyer A paid Rs 164900 upfront in one go. Buyer B converted the Rs 164900 purchase into a standard bank credit card EMI. Buyer C chose the festive 'no-cost EMI' deal, expecting zero extra charges.



The big *myth of* zero interest

? COMMON QUESTION

The financing bank waives interest charges entirely during festive no-cost EMI schemes.

✓ SOURCE-BACKED ANSWER

The seller offers an upfront discount equal to the interest, but the bank still books a loan with interest.



How a **no-cost EMI** actually works

1



The tax

catch: GST

on bank interest

GST on bank interest Goods and Services Tax (GST) is a mandatory government tax applied to financial services. Even though the retailer subsidized your interest upfront, the bank is legally required to levy GST on the interest component billed to you every month.



Who ended *up paying* the least?

paying the least Buyer B paid the most due to standard bank interest plus GST. Buyer C paid Rs 164900 plus extra GST on the monthly interest component. Buyer A, paying upfront, incurred no loan interest and zero financing tax, paying the least overall.



Checkout verification checklist





Always verify **loan taxes** before opting for EMI



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